The System Is the Visible Investment. The Operating Model Is the Real Transformation.

A brief perspective on what large state finance modernization programs reveal

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State governments across the country are making major investments in financial modernization. Washington's One Washington program is a statewide transformation effort replacing legacy technology with Workday across finance, procurement, budget, HR, and payroll. Maryland has taken a similarly enterprise-level approach through its 21st Century Financial Systems initiative and the ongoing modernization of its Financial Management Information System. These are visible, high-profile efforts. They are also useful reminders that the most important part of finance transformation is often the part that gets discussed the least.

Most people look at efforts like these and see a technology story. They see a new platform, a new implementation timeline, a new appropriation, and a new go-live target. That interpretation is understandable. The system is what gets announced, funded, and measured. But that interpretation misses the harder truth:

> *In finance transformation, the system is rarely the deepest problem. The real challenge is the operating model underneath it.*

That challenge starts with a straightforward question: what is the finance function actually supposed to become? Not what software it will use, but how it will work. Who owns which decisions? What becomes standard across the enterprise, and what remains local? How are controls embedded into the work instead of layered on afterward? How should finance interact with agencies, departments, or business units? What reporting logic becomes authoritative? Those are not configuration questions. They are operating-model questions.

Washington's One Washington materials make this visible. The public program description is not framed as a simple technology replacement. It is a phased, multi-year transformation that includes requirements gathering, agency readiness, business process redesign, data and chart-of-accounts decisions, testing with end users, and statewide coordination. That matters because it points to something important: even when the system is the headline, the state still has to decide how finance will actually operate in the new environment.

The friction usually begins when an organization has to decide what will no longer vary. Legacy environments often tolerate more local variation than leaders realize: different spreadsheet logic, different reporting habits, different workarounds, different interpretations of ownership, and different ways of navigating the same administrative requirements. A modern platform exposes those differences very quickly. At that point, the transformation becomes less about software and more about replacing ambiguity.

That is why standardization is such a central issue in public finance modernization. The hardest question is often not which system is being implemented. It is what the organization is finally willing to make common. That includes process steps, approval logic, role boundaries, control points, data definitions, and service expectations. If those choices remain unresolved, the new system often carries forward old uncertainty in a cleaner interface. The tools improve. The operating model does not.

Maryland's modernization effort reinforces the same point from a different angle. Legislative and budget materials show an enterprise-scale transformation that extends over multiple years and intersects with other major administrative-system changes. At that scale, the quality of the operating model matters as much as the quality of the build.

Finance modernization is not simply a procurement event. It is an enterprise design decision.

In government, there is an additional complication: finance cannot modernize by sacrificing stewardship. Appropriations rules, fund structures, reporting obligations, and audit expectations do not disappear because a better platform has arrived. If anything, modernization raises the stakes. A state has to become more usable and more defensible at the same time. That is why I think it is a mistake to frame government finance as a choice between accountability and usefulness. In many organizations, that tradeoff feels real only because the underlying finance model has not been redesigned well enough to support both.

I think modernization should force a series of decisions long before go-live. What work belongs in central finance versus local finance? Which processes must become standard, and where is variation justified? How will control, documentation, and traceability be sustained without depending on heroic manual effort? What data definitions become authoritative across the enterprise? What governance forums will continue after implementation to keep the model from drifting? Those questions are harder than software selection because they expose historical exceptions, local preferences, and unresolved accountability. But they are also the questions that determine whether modernization will produce durable improvement or just a newer version of the same strain.

The lesson I take from large state finance modernization programs is simple: the system may be the visible investment, but the operating model is the real transformation. When finance transformation is defined primarily by the system, organizations often realize too late that they have modernized the environment without fundamentally redesigning the function. The technology changes. The operating burden remains.

Public Sources Referenced

- Washington State Office of Financial Management, One Washington Project Information;
- Maryland General Assembly, Analysis of the FY 2027 Maryland Executive Budget, Comptroller of Maryland